



CASE STUDY

Printer technology and services company Xerox has restructured several times to align the business with the main markets that buy its products. In 1992, Xerox's high-profile change from a functional to a new divisional structure, with nine self-contained divisions each serving a particular customer type, hit the headlines. This also allowed the company to focus on its core business—digital publishing, color copying, and printing.

Dividing the company by market location is another strategy Xerox has used successfully. In 2006, each division was organized once again, geographically, to ensure that those making the decisions were closest to the customers in each market.

7%
the increase in
Xerox's share
value when
it announced
its move from
a functional
to a divisional
structure
in 1992



CEO



Europe

The second-largest region for sales

Developing markets

All other markets

Global services

Additional division consulting across regions

Division by customer type

Businesses with distinct customer markets may be organized by customer division. For example, the financial institution Bank of America Merrill Lynch caters to individuals, small businesses, and corporate and institutional clients.



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CONSUMER

Typically the original market

BUSINESS

Products adapted or favorably priced

INSTITUTIONAL

Large-scale provision to a single client